

24STCV01236 24STCV01236

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Case Number: 24STCV01236 Hearing Date: July 15, 2026 Dept: 529

KIDS EMPIRE ONTARIO, LLC VS DILLWAY

ASSOCIATES, L.P., ET AL.

DEFENDANT'S MOTION TO COMPEL FURTHER RESPONSES

Date of Hearing: July

15, 2026 Trial Date: September

21, 2026

Department: 529 Case No.: 24STCV01236

Moving Party: Defendants

Dillway Associates, L.P.

Responding Party: Plaintiff Kids Empire Ontario LLC

BACKGROUND

This action arises from alleged fraud

concerning a lease agreement which was entered into on February 23, 2018. On

January 17, 2024, Plaintiff Kids Empire Ontario, LLC ("Plaintiff") filed a

Complaint against Defendants Dillway Associates, L.P. ("Dillway"), Reliable

Properties ("Reliable") (collectively "Defendants") and DOES 1 through 10,

inclusive, alleging causes of action for: (1) Fraud; (2) Rescission (Mistake);

and (3) Declaratory Relief.

Plaintiff alleges that David Gold

("Gold") of Defendant Reliable conducted the lease negotiations on behalf of

Defendants. (Complaint, ¶¶ 7-8; Exh. 1.) Pursuant to the lease, Plaintiff is required to pay rent and its share of common area maintenance ("CAM") expenses. (Complaint, ¶ 9.) In the negotiations that preceded the execution of the lease, Gold represented that Plaintiff's estimated monthly CAM expense obligation would be \$5,040, and Defendants restated and confirmed this estimate in the lease. (Complaint, ¶ 9.) Defendants used this CAM estimate to induce Plaintiff to enter the lease, and Plaintiff later discovered it was false. (Complaint, ¶ 10.) Plaintiff further alleges that it commenced its occupancy and operations in April 2021 and, thereafter, Defendants informed Plaintiff the monthly CAM charge was \$8,367.37, substantially higher than Defendants' estimate of \$5,040. (Complaint, ¶ 11.) Plaintiffs sought an explanation from Defendants. (Complaint, ¶ 12.) Plaintiff alleges that Defendants' representation as to the amount of CAM expenses was false. (Complaint, ¶ 16.)

On November 18, 2024, Dillway Associates filed a First Amended Cross-Complaint against Kids Empire Ontario, LLC, Haim Abraham Elbaz and Blandine Marie Clair for breach of contract, accounting, breach of guaranty and declaratory relief.

On May 17, 2024, Plaintiff filed and served a Notice of Related Case indicating that the instant action is related to Kids Empire Pomona, LLC v. Royal Oak, L.P., et al., LASC Case No. 24STCV01254 (the "2d Action"), which was filed on January 17, 2024 at 2:07 PM and is pending in Department 40 of this Court. The 2d Action was filed after the instant action.

[TENTATIVE] RULING

Defendant

Dillway Associates, L.P.'s Motion to Compel Further Discovery is GRANTED IN PART.

DISCUSSION

Defendant

Dillway Associates, L.P. moves this court for an order compelling Plaintiff Kids Empire Ontario, LLC to provide further written responses, documents and tangible things responsive to Dillway's Request for Production of Documents, Set Two, Nos. 12, 13 and 15. Defendant also seeks monetary sanctions in the amount of \$2,404.25 against KE Ontario, to reimburse Defendant for its

attorney's fees and costs associated with bringing this motion.

A motion to compel further responses to a demand for inspection or production of documents ("RFP") may be brought based on: (1) incomplete statements of compliance; (2) inadequate, evasive or incomplete claims of inability to comply; or (3) unmerited or overly generalized objections. (CCP § 2031.310(c).) A motion to compel further production must set forth specific facts showing good cause justifying the discovery sought by the inspection demand. (See CCP § 2031.310(b)(1).)

Defendant

argues the subject requests are aimed at discovering evidence that would bear on the reasonable value of the property for the time that Plaintiff occupied it for the purpose of determining potential rescission damages. The documents and communications sought would relate to (1) Plaintiff's efforts to find and secure locations in Southern California between 2017 and 2019, (2) other leasing opportunities Plaintiff had in Southern California from 2017 to 2019, and (3) any research conducted by Plaintiff into the reasonableness of the CAM charges. Defendant further argues the objections are without merit as the parties have already stipulated to a protective order; none of the documents should implicate attorney-client privilege or the work product doctrine and to the extent they do, Plaintiff should provide a privilege log; the Subject Requests are neither vague, nor ambiguous; they are not unduly burdensome or oppressive, and do not relate to expert discovery.

Plaintiff

opposes the motion on the grounds Dillway did not comply with the meet and confer requirements and that Dillway has not shown good cause. First, Plaintiff contends documents and communications that relate to other potential Kids Empire locations and leasing opportunities would not shed light on whether Defendants made misrepresentations in the lease at issue in this case or in the negotiations leading to it. Moreover, assuming the reasonable rental value is relevant to calculating a potential offset against the return of the rent Kids Empire has paid to date, Plaintiff contends that does not explain why Dillway thinks all documents and communications regarding "efforts to find and secure locations in Southern California between 2017 and 2019" and "other leasing opportunities" that Kids Empire may have had are likely to be probative of the reasonable rental value of the property at issue in this case – Dillway's

property. Similarly, Dillway has not explained how Kids Empire's assumed "research" into the "reasonableness of the CAM charges" would tend to prove or disprove whether Dillway and Reliable Properties misrepresented what they would actually charge Kids Empire for CAM.

First, the court declines to deny the motion based on Dillway's failure to confer by person, telephone or videoconference as required by Code of Civil Procedure section 2016.040. While the court admonishes Defendant to comply with all parts of the Code moving forward, it appears there was a reasonable and good faith attempt at an information resolution.

Moreover, the court finds further responses warranted as to No 15, as documents reflecting plaintiff's research into the reasonableness of the CAM fees prior to its entry in the lease in question may be probative of whether their reliance on defendant's alleged misrepresentations was reasonable. Plaintiff may withhold attorney client and attorney work product privileged documents, but those must be properly listed on a privilege log.

Research they performed after it entered the lease is irrelevant and likely to be covered by a privilege. As for requests Nos. 12 and 13, the court agrees with plaintiff that they are overbroad and unlikely to lead to the discovery of admissible evidence. Plaintiff's efforts to find rental property two to four years before they entered the lease in questions has no bearing on the value of the property they rented in 2021.

The landscape for rentals of this type changed dramatically in 2020 with the Covid Pandemic. The court orders no further responses to 12 and 13.

Based on the foregoing, the motion to compel further is GRANTED IN PART.

Sanctions

Defendant seeks \$2,404.25 against Plaintiff on the grounds Plaintiff refused to provide adequate responses and refusal to produce these highly relevant documents is without justification.

The court

DENIES the motion to compel further. Plaintiff acted with substantial justification in opposing the motion.